capital be infused quickly. Governments are sometimes reluctant to infuse bank capital because there are so many more pressing demands for funds. Yet, there are few higher return activities than capitalizing the public sector banks so that they can support credit growth. Finally, the Economic Survey has suggested the RBI should capitalize public sector banks. This seems a non-transparent way of proceeding, getting the banking regulator once again into the business of owning banks, with attendant conflicts of interest.

Better that the RBI pay the government the maximum dividend that it can, retaining just enough surplus buffers that are consistent with good central bank risk-management practice. Indeed, this is what we do, and in the last three years, we have paid all our surplus to the government. Separately, the government can infuse capital into the banks. The two decisions need not be linked. Alternatively, a less effective form of capital, if the government cannot buy bank equity directly with cash, is for it to issue the banks 'Government Capitalization Bonds' in exchange for equity. The banks would hold the bonds on their balance sheet. This would tie up part of their balance sheet, but would certainly be capital.

Postscript: I would not change anything in this speech today. The need for action on everyone's part is as urgent as ever, though the instruments to effect that action have grown. The NDA government amended the various acts governing debt recovery to make them less easy to game, and also enacted a new bankruptcy code. Further, it amended the working of debt recovery tribunals. These are important steps forward in rectifying the balance between borrower and lender in India. However, the operational effectiveness of these changes needs to be tracked, and further amendments enacted if necessary, until we have a resolution system that works in a rapid, fair and transparent way.